Recommendation

Fund payments first, then invest for growth.

- Principal matching is our chosen revised funding plan

- Keep the original Sample MV stock weights

- Net equity USD 6.210m, after a 10bp entry fee

- Required 2030 equity CAGR about 4.80%

Source: Revised funding and approved stock policy

Payment schedule

Total commitments stay at USD 6m.

- 2024: USD 2.4m in both schedules

- 2025: a new USD 1.2m payment

- 2027: USD 2.4m, down from USD 3.6m

- Keep the 2022 case-date information cutoff

Source: Trustee mandate update

Funding trade-off

Principal matching leaves a larger cash cushion.

- Bond cost USD 5.784m; revised equity USD 6.210m

- Coupon funding allows roughly USD 354k more equity

- Cash after 2025 payment: USD 396k vs near zero

- The bond financing choice is a liquidity judgement

Source: Bond cash-flow ledgers

Stock allocation

We hold eight stocks, not a broad index.

- AAPL, MSFT and PG each at the 15% stock cap

- Technology holdings total 30%

- No ETFs in the chosen portfolio

- Concentration remains the main risk

Source: Frozen decision weights

Portfolio methods

Reoptimizing adds little at A = 3.

- Sample MV: 12.05% estimated return; 14.98% volatility

- Minimum Variance: 10.86%; 13.15%

- Revised principal utility 0.053328705 vs 0.053328718

- A = 8.94 compares fixed portfolios only

Source: Portfolio comparisons

Factor evidence

Market risk and a large-stock tilt drive returns.

- FF3 market beta 0.867 and SMB -0.426

- FF3 adjusted R-squared 0.844; CAPM 0.785

- Positive historical alpha does not prove skill

- Funding-only changes leave normalized factor returns unchanged

Source: CAPM and FF3 outputs

Downside and goals

Payment certainty does not eliminate equity risk.

- Equity -25% and yields +100bp: 14.42% loss with principal

- Coupon-funded alternative: 15.08% modeled loss

- These are not the trustees' 12-month warning/review measure

- Inflation and buffers change the 2030 hurdle

Source: Combined stress and 2030 sensitivity

Observed 2023-2025

Selected stocks grew but trailed VTI.

- After-fee CAGR: stocks 17.69%; VTI 22.45%

- Monthly-return volatility: 11.80% vs 12.60%

- Annualized active return -4.11%; tracking error 6.91%

- Later results did not change the original decision

Source: Archived Yahoo data, 36 months

Implementation

Keep the evidence and decisions clear.

- Track the revised 2024, 2025 and 2027 payments

- Review withdrawal-adjusted 12-month losses at 12% and 15%

- Case bonds have modeled, not observed, market prices

- University acceptance and original emailed hashes remain unverified

Source: Decision log and source records